

Nike, Inc. - Financial Due Diligence Summary FY2024

Executive Summary

Nike, Inc. (NYSE: NKE) is the world's largest designer and marketer of athletic footwear, apparel, and accessories. For FY2024 (ending May 31, 2024), Nike reported revenues of \$51.4B, a 1% decline YoY reflecting softness in North America and Greater China offset by growth in EMEA. Gross margin contracted 10 bps to 44.6% amid elevated promotional activity. EBITDA was \$6.8B (13.2% margin). Net income was \$5.7B. The company holds \$11.6B in cash and short-term investments with \$8.9B in long-term debt.

Income Statement Summary (FY2022-FY2024)

Metric	FY2022	FY2023	FY2024
Revenue (\$B)	46.7	51.2	51.4
Gross Profit (\$B)	20.9	22.3	22.9
Gross Margin (%)	44.8%	43.5%	44.6%
EBITDA (\$B)	6.5	6.6	6.8
EBITDA Margin (%)	13.9%	12.9%	13.2%
Net Income (\$B)	5.1	5.1	5.7
EPS (\$)	3.23	3.23	3.73

Balance Sheet Highlights (FY2024)

Item	FY2023 (\$B)	FY2024 (\$B)	Change
Cash & Short-Term Investments	10.7	11.6	+8.4%
Accounts Receivable	4.1	4.3	+4.9%
Inventories	8.5	7.5	-11.8%
Total Current Assets	26.5	27.1	+2.3%
Total Assets	37.5	38.1	+1.6%
Long-Term Debt	9.0	8.9	-1.1%
Shareholders' Equity	14.0	14.8	+5.7%

Key Financial Ratios

Ratio	FY2022	FY2023	FY2024
Current Ratio	2.81	2.68	2.74
Debt-to-Equity	0.64	0.64	0.60
Interest Coverage (x)	18.2	17.6	19.1
EBITDA Margin (%)	13.9%	12.9%	13.2%
Revenue Growth YoY (%)	5.1%	9.6%	0.4%
Gross Margin (%)	44.8%	43.5%	44.6%
Working Capital Ratio	1.91	1.78	1.82
Free Cash Flow (\$B)	4.8	4.9	6.0

Segment Revenue Breakdown (FY2024)

Segment	Revenue (\$B)	YoY Growth	% of Total
North America	21.2	-3.5%	41.2%
Europe, Middle East & Africa	13.5	+7.4%	26.3%

Greater China	7.7	+3.4%	15.0%
Asia Pacific & Latin America	6.7	+5.6%	13.0%
Nike Direct (DTC)	21.8	+5.7%	42.4%
Nike Wholesale	26.0	-3.2%	50.6%
Converse	2.4	-11.1%	4.7%

Cash Flow Summary (FY2024)

Operating cash flow was \$7.4B, up 39% YoY, driven by inventory reduction of \$1.0B and strong earnings. Capital expenditure was \$1.4B (2.7% of revenue), predominantly for technology infrastructure and DTC store expansion. Free cash flow of \$6.0B was deployed across \$4.3B in share buybacks and \$2.2B in dividends. Net debt position improved to -\$2.7B (net cash), providing significant balance sheet flexibility.

Risk Factors

- 1. Consumer softness in North America - wholesale channel pressure from retailer destocking.
- 2. China recovery uncertain - geopolitical tensions and domestic competition from Anta, Li-Ning.
- 3. Foreign exchange headwinds - approximately 60% of revenues generated outside the US.
- 4. Promotional environment - inventory glut across industry has compressed margins.
- 5. Elevated SG&A - increased marketing spend and digital investment compressing operating leverage.
- 6. CEO transition - Elliott Hill returned as CEO in October 2024 after John Donahoe departure; strategic continuity risk during leadership change.